

EXPLORING BEST PRACTICES FOR NET ZERO CARBON CUMBRIAN BUSINESSES

A REPORT REVIEWING EXISTING CERTIFICATION AND OFFSETTING FRAMEWORKS



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COMPANY PROJECT

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1. Executive Summary

Carbon emission has been now considered as one of the biggest issues in the global scenario and several policies are in place to tackle it. The Kyoto protocol lays down the guidelines and the introduction of CDMs (Clean Development Mechanisms) have changed the way businesses now function with the concept of Net Zero Carbon. Although the major idea is to reduce carbon emission with changes in the internal systems and creating efficient supply chain and operations, the fact remains that there will be some which just cannot be avoided. This is then to be offset in some different ways, which is the fundamental of this project.

Lancaster and Lancaster Ltd. is a consulting company in the Lancashire region that realizes the above issue in the Cumbrian businesses and are keen to fund solutions which can create mutual benefits for the businesses, consumers, and nature. In this project, we worked with the company to create a best charter practice that they can adopt to help the Cumbrian Businesses deal with the issue.

The methodology used for the project is industrial analysis and linking it to the cases of six companies carefully selected to suit the Lancaster and Lancaster Ltd. The industrial analysis got us the result of the growing demand of the consumers to interact with carbon neutral businesses and the low bargaining power that these businesses have. This increased the importance of the activities of the companies, which although are different in execution but are the same concept. This when linked with the cases led to the recommendation of adopting a mixed approach in creating partnership with the giants who form the standards and partnership with smaller companies who own the projects which can offset the carbon emission while also leveraging the consulting experience of the company.

2. Introduction

With the growing concern about climate change, the need for achieving net-zero carbon emissions has been ever-increasing. Low carbon and sustainable products have been a topic of

interest lately, carbon labels have changed the way consumers shop. Manufacturers and retailers across the globe have started working on carbon labelling, certification, and quality marking of their products for a sustainable competitive advantage. Therefore, understanding the need and adapting a standard or a practice for carbon neutrality can aid any business and boost sales.

This project focuses on suggesting a carbon-neutral standard for Cumbrian businesses, mostly focusing on retail food and beverage pertaining to the tourism and hospitality industry. The Cumbrian businesses although sustainable ethically due to being community based self-sufficient businesses, are believed to have a high carbon footprint. The locally sourced meat through the entire process has more carbon footprint than getting them produced, packed, and imported from New Zealand. Thus, The Net Zero Carbon Cumbria partnership is striving to tackle this issue and become the first net zero carbon county in the UK by 2037. Lancaster and Lancaster Ltd. with this project aims to target the processes to make it efficient and have an umbrella solution of carbon neutrality framework to recommend the best possible frameworks for Cumbrian businesses to reduce carbon emission and gain recognition.

2.1 Key Issues and Deliverables

The brief provided to us in the initial stages of the company project mentions the visionary idea that Lancaster and Lancaster Ltd. wants to achieve for the Cumbrian businesses soon but needed heavy streamlining considering the restrictions. With further meetups and discussion, the agreed upon key question was:

‘How can Lancaster and Lancaster Ltd potentially adopt existing best practices in administrating net zero carbon emission for food and beverage businesses of Cumbrian region in the near future?’

In order to find the best possible solution, the scope of the project was agreed as follows:

- Understanding the net-zero carbon emission best practice guidelines.

- Reviewing the business strategies of the existing firms in carbon emission auditing industry.
- Understanding the position of Lancaster and Lancaster Ltd. in the market and also trends in the external environment.
- Recommending few steps that Lancaster and Lancaster Ltd can take in the near future.

These set objectives have been touched upon briefly and discussed in the subsequent sections to finally produce the way ahead for Lancaster and Lancaster in their journey of embarking revolutionary change.

2.2 Project Overview

Lancaster and Lancaster Ltd. are keen on understanding and developing best practices for the food and beverage business (F&B) in the Cumbrian region. These will then set the bases for the companies to execute ethical functions and reduce carbon emissions from their operational structure. Such chartering process of judging the businesses and tagging them carbon neutral have been a process that companies have taken into action as early as the 2000 (Native, 2017). While there are several types of it, like full-fledged Carbon offset standards, project design standards to name a few, some use a mixed methodology in their assessment procedure (Kollmuss, 2008). This can be understood with the example of Verra which have full-fledged Verified Carbon Standard recognition to give to business which is based on yearly auditing of set standards and Plan Vivo which follow the method of providing the certification based on set standards, converting them into carbon credit which can be used for offsetting transactions.

Thus, our study focuses on understanding these processes used by the six existing firms and exploring the best practices which can be apt for the Cumbrian F&B businesses (Table 1) depending on the position of Lancaster and Lancaster Ltd. Such a study will also help to

understand the nuances of requirements to go about adopting these procedures, for instance a verified third-party auditor to audit the certifying body to increase credibility.

Table 1.

List of Selected Companies for Analysis and their Business Models

Name of the Company	Main Business Model
Verra	Standard Charter Auditing
Natural Capital/Climate Impact Partners	Carbon Neutral Certification
Climate Partner	Carbon Neutral QR Code Label
3Degrees	Decarbonization Solutions
Native Energy	Carbon Offsetting
Plan Vivo	Carbon Credit Transactions

3. Relevant Research on Net Zero Carbon in F&B Businesses

3.1 Carbon Emission Threat and Net Zero

Global warming is an alarming crisis, and it needs to be quickly addressed, major countries in the world have agreed to reduce their share of carbon emissions and achieve net zero by 2050. During the Paris Agreement, many countries have agreed to work towards achieving the 1.5°C global warming target by reducing greenhouse gas (GHG) emissions (IPCC, 2022). While talking about achieving net zero in sectors like technology, electricity, and transportation can be done by simply switching to clean technologies and alternative green energy sources. Whereas in industries like aviation and agriculture the options are limited and quite unlikely to bring down the emission to zero (Cran-McGreehin, 2022).

3.2 Net Zero Emission in F&B Industry

The Intergovernmental Panel on Climate Change (IPCC, 2018) has identified that 20% of the emissions can be allocated to agricultural and farming activities. And, with the increasing

demand for emission-intensive food like meat and dairy where the demand is expected to double globally by 2050, there is a dire need to address the carbon emission in this sector (Springmann, M. et al., 2018). Food contributes a lot to the CO₂ emission, in each step of cultivating, transporting, storing, and cooking it consumes a lot of energy and generates GHG, adding its fair share to global warming (Net Zero Scotland, 2022). The food and beverages (F&B) consumed to account for 1/3rd (31% approx.) of the global greenhouse gas emissions (Kommenda et al., 2022). A 2018 CDP (Carbon Disclosure Project) survey consisting of the 50 largest food and beverage manufacturers stated that these companies collectively reported an annual 0.9 Gt CO₂-eq emission (Damkær Hansen et al., 2022) of which 77% of it is from the Indirect emissions like the supply chain, operations contributing highly to the industry's carbon emissions. Purchased goods and services (PG&S) are highly likely to contribute to carbon emissions in the F&B sector (Clark et al., 2020).

3.3 F&B Industry in United Kingdom

UK's F&B industry focuses on imported goods and homegrown goods, according to FDF (Food & Drink Federation), imports account for 33% of the UK's emissions of which retail & catering accounts for 9, A WARP study also states that UK food systems are accountable for 160 metric tonnes of CO₂ emissions per year (Malloy, 2021). Lately, consumer behaviour towards F&B has changed and they have started shopping consciously. A survey conducted by the Carbon Trust in 2020 found that most of the UK, US, and EU (European Union) consumers support F&B goods with carbon neutral labels (Kommenda et al., 2022). The carbon neutrality label or charter will focus on creating awareness among the consumers and create a low carbon transition in the industry.

3.4 Role of Companies and Effectiveness

Realization of the problems also leads to the development of solutions for the F&B sector. Several changes have been brought all through the years like that of introduction of

Manufacturing Execution System (MES), adoption of ESG (Environmental, Social and Governance) disclosures or structural changes in Energy intensity and Industrial activity (Lin and Lei, 2015; Nuccio et. al.,2020; Sovacool et. al., 2021). These were initiated by individual private and governmental firms bringing detrimental changes in cutting down the carbon emission in several countries. Lin and Lei (2015) in their study gauged the extent of change that these companies can make from the fact that basic internal rectification of processes reduced the carbon emissions by 15.3163 million ton between 1996 and 2000 in China. Similarly, although for individual gain, the adoption of ESG disclosures in F&B has forced companies to follow, thus, increased chances of including environmental considerations into company strategy (Nuccio et al., 2020).

Another option here is indicators and charters of best practices, which now is popular in F&B due to increased auditing and credibility building. Eco efficiency indicator in Canada and Gold Standard by WWF are two of the existing charters in gauging the net-zero carbon emission by businesses (Maxime et. al., 2006; Kollmuss et. al., 2008).

Such charters have now also included the discussion of Clean Development Mechanism (CDM) stemming from Article 12 of the Kyoto Protocol 1997, which is a method of offsetting carbon and generating results towards reducing carbon emission (Dagoumas et. al., 2004). This mechanism involves the process of selling certified emission reduction (CER) credits which is done to meet the Kyoto targets. This can be done in two ways; one is a monitored and administered way of governance like Gold Standards and the second being the more voluntary one with the help of private companies like Native Energy and 3Degrees. (Lovell, 2010). This when coupled with the carbon offsetting mindset of the consumers, such mechanism and recognitions have now taken shape of absolute necessity for the businesses and are paving the way to greater acceptance by the businesses to involve ethical and eco-friendly business practices (Mair, 2010; Lovell, 2010).

4. Relevant Cases to Lancaster and Lancaster Ltd.

Studying the relevant cases makes the significant link to the analysis which is chosen method to understand the actions of existing firms and imitate their best practices relating to the position of the company in the market. As mentioned above, the companies have proven to have efficient effects and produce positive results. The chosen six companies will be described in the aspect of Business Model and Standards.

4.1 Verra

A United States based company with headquarters in Washington, DC, Verra is a market leader and pioneer in the field of carbon reducing works. The most prominent work under the Verra's fight against high

carbon emission is the Verified Carbon Standard (VCS) Program which is a program of indirectly dealing with the



carbon emission based on a set charter which gives the recognition of VCS and generate Verified Carbon Units (VCUs) subsequently which is a credit which can be used in the market for transactions and offsetting.

The business framework is based on four independent processes which are VCS Standard, Independent Auditing, Accounting Methodologies and Registry System Namely. The standard is a set of rules and requirements laid out by the company which makes the to attain the certification, Independent Auditing is where a third-party entity and the Verra staff monitor/audit the project annually, Accounting Methodologies is being able to quantify the emission and then registry system is a database which regulates the market of certified credit, retiring it if required and facilitate ethical transaction to maintain its efficiency.

These generated VCUs are then bought by individuals and companies to offset their carbon emission as each VCU (Verified Carbon Units) amount to reduction of one tone of carbon dioxide equivalent. Subsequently the companies or individuals keep on evolving their internal procedures and when they have reduced the levels without the need of offsetting, it is sold to either other businesses or just retired by the Verra Registry System. To date, over 835 million VCUs have been issued and out of which 439 million have been retired, equaling 95 billion cars taken off the road for a year.

4.2 Natural Capital Partners.

With headquarters in London, United Kingdom; Natural Capital Partners is an international company and one of the mother companies of Climate Impact Partners which received the recognition of Best for the



a service of



World by B Corp in 2022. The most important part of their functioning is the CarbonNeutral certification which has been fighting the issue of carbon emission for almost two decades now. The basis of the certification is the CarbonNeutral Protocol, in place since 2002 and aims at three major principles which are: Taking instant actions, building on estimation, and making a pragmatic impact.

As for the process of certification, it is a five-step activity which is Define, Measure, Target, Reduce and Communicate. These steps can either be followed in the mentioned order or run parallel depending on the project under consideration for the certification. The defining process is ideally trying to get a description of the subject under consideration and try to be categorized under either of the three options, which are Entities, Products and Activities. This is followed by the measurement of the emission based on the specification table which is set for each of the above categories. Next is to

target and reduce the emission in a realistic and pragmatic manner by either internal changes or offsetting projects and then finally effectively communicate it to attain the logo of CarbonNeutral to gain credibility in market and consumers.

4.3 Climate Partner

An environmental consulting firm in London, United Kingdom; Climate Partner has it is functioning like the that of the Natural Capital Partners. The



main product of this firm is the Carbon neutral label, which is a QR Code label which represents the transparency and traceability for action against climate change. With the third-party international auditor TUV Austria, the label has. A reach over 60 countries and in more than 30 languages making it a favorite label to opt for.

The baseline charter for the firm is the ClimatePartner protocol which is a four-step process of Calculation, reduction, offsetting, and then communicating. The first step of calculation is a combination of defining and making sense out of the data to have numbers to issue, followed by plans to reduce to the levels of unavoidable emission levels. These then are to be offset via the partners like Verified Carbon Standards, Gold Standard, Clean Development Mechanism + Gold Standard, etcetera. The last step is to have clear communication which can be achieved by the creative and digital medium of the QR Code.

4.4 Plan Vivo

Another firm in the UK market, with headquarters in Edinburgh, Plan Vivo is an organization which has been present since 1996 in the market transforming lives and societies. The peculiar trait of the system is that the scope of it is not just limited to that of fighting climate



change but all the 17 SDGs (Sustainable Development Goals) by accepting, regulating, and monitoring activities among the local communities of Mexico, Africa, India, Sri Lanka, and Nepal.

The business framework is simple which is adopting and being part of the projects among the local community based on the project ideas which they call it as Project Idea Note (PIN). This PIN once is seen to have remarkable influence on sustainability, the next step is Project Design Document which include the further important information's like that of estimating cost which is then reviewed by one pre-approved third-party verifiers. The report submitted by these verifiers seals the fate of the project, once adopted Plan Vivo generate Plan Vivo Certificates (PVCs), Devise plans and make sure there is a regular auditing every five years. The gained PVCs are then leveraged in the voluntary market for Governments, Businesses, and Individuals to buy offset their carbon emission.

4.5 Native

An American company in Burlington and having presence in several countries have been making a difference since 2000. The company believes in working with organizations to develop solutions to tackle GHG emissions, strengthen the businesses of their clients and impart benefits to the world. This is achieved mostly by realizing

that the CSR (Corporate Social Responsibility) funds are well used by the companies and generate long term value.



The difference that Native has to offer is the fact that they have found weakness in the year-on-year offsetting programs and have developed a way in which the client company invest in the project for

a long term, ideally 5 to 7 years which will show yield once it starts its functioning. This upfront investment has sped up the process of project initiations, covered the initial cost and generated a value chain by also creating the RECs (Renewable Energy Certificates) and giving it to them and making them a green company by making sure that the renewable electricity produced by these projects eventually power the companies who invested in it.

4.6 3Degrees



One among the successful United States company based out of San Francisco, 3Degrees have won several recognitions and awards in the span of last 15 years while

working with businesses and consulting their way to a better tomorrow. The company specializes in providing global solutions for decarbonizing any company by restructuring their processes. Here again the philosophies revolve around setting baseline goals, developing strategy, implementing solutions, monitoring, reporting, and communicating well.

The whole processes are divided into 4 types, first being Business Strategy Integration, basic step in setting goals, knowing the inventory, and increasing employee involvement to understand the issue better. The next type is Operational reductions,

which are plans and strategies like REC (Renewable Energy Certificates), installation of renewable source of energy, etcetera aimed to cut down direct and indirect emission. The third type is Value Chain Reductions which are controlling the emissions outside the organization by being able to quantify and spot-target these emissions be it Inventory Management or handling the supply chain and suppliers. The final one is now focusing only on the ones which could not be accounted for at the start and try and reduce them with newer technologies or offset them by buying the credits from the existing project owners like Verra or Plan Vivo. This entire process from understanding to selecting the offsetting project is tailor made revolving around the client's mission, vision, position in market, industry, and resources in hand.

5. Methodology and Analysis

This project is an initial step of Lancaster and Lancaster Ltd. to bring about a substantial change in the coming few years which will revolutionize the Cumbrian F&B business in respect to carbon emission. Due to this, the chosen method for analysis is to understand the market and industry by external and industrial analysis.

The external and industrial analysis is a means to set the premise to understand the position of Lancaster and Lancaster Ltd. and the ambitious target of this project to bring about a complete structural change. To that end, we use PESTLE, Five-Forces and SWOT analysis.

Food and Beverage service, retail and hospitality are one of the largest growing industries in the UK (United Kingdom), in the global level the market is estimated to grow from \$2,525.4 billion in 2021 to \$5,027.9 billion in 2028 (Fortune Business Insights,2022).

The industry has gone through a lot of changes in the past and multiple innovations in food service and hospitality have helped it grow. Restaurants, hotels, bars, cafes, coffee shops, and resorts are heavily focusing on enhancing their services in every way possible and providing the best they can to their customers. The industry is highly competitive, it is important for

business owners to keep renovating their business model to stay in the market. The food and Beverage (F&B) Retail industry is estimated to grow 16.9% p.a. by 2025 in the UK market. UK had the 6th highest increase rate in the F&B retail industry in 2021 (Statista, 2022).

Although, during the COVID-19 pandemic the industry got adversely affected and by 2020 the global food service industry faced a decrease in sales, 31.46% year-on-year dip was registered that year (Fortune Business Insights, 2022). In the UK, the F&B industry went from £77,831 million in 2019 to £53,910 million in 2020 (Statista, 2022). It soon recovered from the loss with the help of online food ordering platform services, most of the local and small businesses survived the pandemic, gained a wider customer base, and helped regain the sales number back to the pre-pandemic level by 2022. Recent political incidents like Brexit and war have increased the price of F&B goods affecting the industry. Thinktank UK has pointed out that “due to Brexit and the new trade barriers the UK food prices have increased by 6% between December 2019 and September 2021” (Partington, 2022).

The industry is changing, but the buying numbers have only increased (Appendix 7). The industry is growing with a pattern shift. Consumers have become more pro-environmental and are ready to spend a little extra on sustainable and low-carbon foods and beverages (Appendix 8).

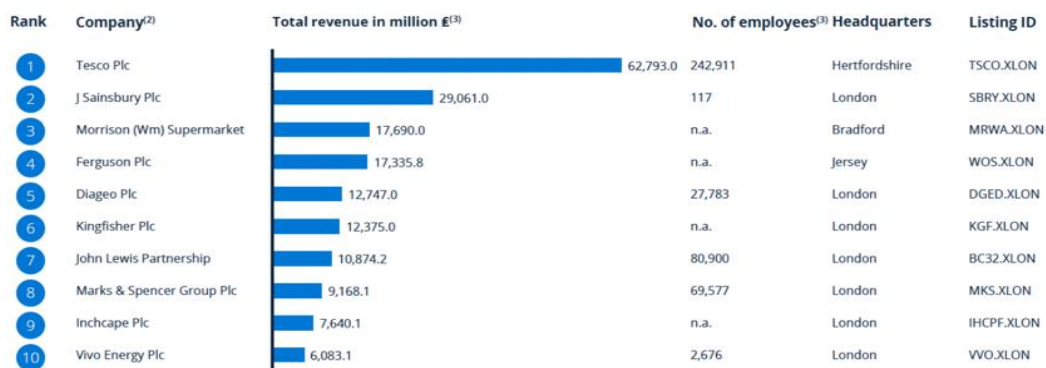
It is said that the UK’s food manufacturing and consumption resulted in about 18% of the country’s GHG emissions (COI Communications, 2008) (Reisch, Eberle and Lorek, 2017). And most consumers are aware of this and have changed their consumption patterns by opting to consume more fruits and vegetables than ever. Fruits and vegetables were the most consumed food in the UK by March 2022, and the sales grew by 2.6% in 2021 (Statista, 2022) (Appendix 6).

Figure 1

UK’s F&B Retail Market Share

Tesco Plc registered the largest revenue in this SIC section in the United Kingdom

Selected Top Companies⁽¹⁾



24 Notes: (1) Data refers to "Wholesale And Retail Trade; Repair Of Motor Vehicles And Motorcycles" (SIC Section G) (2) Only stock-listed companies; the selection of companies is based on their major sources of revenue (3) Latest available data
Sources: Market data by [Quandl](#) and [WBV](#) 2022; [Statista Company DB](#) 2022

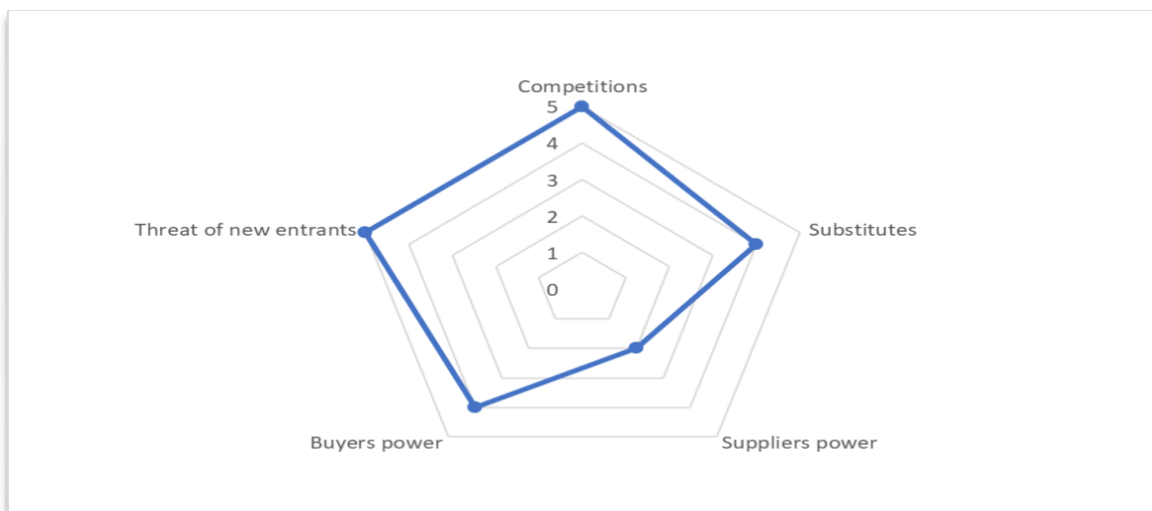
statista

Source: Statista (2022).

From analysing the industry (Appendix 1) using multiple frameworks, it is easy to say that the industry is highly competitive and to survive the business model should focus on creating a sustainable competitive advantage for the business. To be successful, the business needs to either have a cost leadership strategy, focus on a particular target audience, or differentiate itself from its competitors.

Figure 2.

Porter's 5-Forces Chart



Source: Authors' Work

Most of the businesses in the F&B sector are focused on building, customer loyalty, creating an online presence, using promotional tactics, following social trends like sustainable food, locally grown food, vegan options, carbon neutrality labels, and some focus on optimizing their operations and value chain activities (Kanya, 2022). These have been proven successful in the past and implementing these strategies can help boost the business.

Today, many food manufacturers and retailers in the industry are focused on the new and interesting “high-margin” market for low carbon, sustainable food and drinks, Majority of the retailers are promoting labels and tags that say carbon neutrality, low or zero carbon footprint, sustainably sourced and packaged and made locally (Tukker et al. 2009) (Reisch, Eberle and Lorek, 2017). All these point toward a change in consumer behaviour against GHG emissions and environmental deterioration.

Businesses have scoped out all the possible ways they can reduce their GHG emissions and contribute to the global net zero plan. Becoming more sustainable or eco-friendly also creates a positive brand image for them and gives them a competitive edge against their competitors. Most of the industry has already reduced or cut down their direct contribution towards carbon emission and is working on reducing their indirect contributions. They have started working alongside sustainable initiatives and investing in such products and production methods.

In European countries such as the UK, Germany and Netherlands, animal welfare is an important aspect when it comes to sustainable food. Consumers do not support animal cruelty or the testing process as a part of their dietary value chain and end up disassociating themselves from brands which practice it. So, food labels focusing on animal welfare are gaining popularity in the market among consumers. (Reisch, Eberle and Lorek, 2017).

The focus has turned towards cooking and consuming food too. Consumers want to know how environmentally friendly the production and preparation of the food they consume

are, they want 100% transparency about the manufacturing process and expect assurance that the animals were well taken care of during the production process. If any business assures that they are more inclined to buy from them. According to Reisch et. al. (2017, p. 15):

“One means of managing ethical workplace conditions throughout global supply chains is to follow international standards, such as Social Accountability Standard 8000” (SA 8000)

“or the International Standards Organization standard for CSR (Corporate Social Responsibility)” (ISO 26000)

When we focus on the case at hand. Lake District, Cumbria is considered the UK's eating out capital. With an incredible reputation for its variety of food and drink producers and 8 Michelin stars, most of its products are locally sourced and made. The major income for the region is from tourism, people who come there for leisure activities, healthy food and drinks the revenue is estimated to be £3.1bn in 2019 (Cumbriatourism.org., 2022). Considering the trend in the market and aiding the existing business model the best differentiation strategic option will be providing carbon neutrality charters or frameworks to their businesses, which will help them gain a competitive advantage over the businesses which does not follow this framework.

6. Conclusion and Recommendation

The discussion and analysis above show the importance of carbon neutrality in businesses and ethical operations which nowadays are the driving force of customer buying behavior. Thus, understanding the frameworks which help these businesses to achieve sustainable goals was particularly important and linking it to the analysis helps us to pin-point the best practices which could work for Lancaster and Lancaster Ltd. specifically.

Most of the companies under consideration were keen on using the offsetting tool to make the company more sustainable. Moreover, Lancaster and Lancaster Ltd. is already a

consulting firm which is like the companies reviewed above. This directs towards the fact that a strategy can be devised to help Lancaster and Lancaster Ltd. achieve these ambitious goals.

Like many small and medium enterprise, it is recommended that Lancaster & Lancaster Ltd.:

1. **Enter in partnerships with other big companies** such as Verra and Gold Standards which give out the technical specifications of carbon emissions and thus defining the extent of the issue since the market is highly competitive and Lancaster and Lancaster Ltd can avoid major clashes by partnering with the key players.
2. **Leverage the expertise of the company owners** in the field of Hospitality and devise plans to make the processes more efficient. This works great as the company already is a consulting firm and are actively working in this field.
3. **Creating a common fund to invest in the voluntary carbon market**, buying credits from companies like Plan Vivo, who tackle all the 17 SDGs to offset emission since offsetting the issue is the biggest requirement and USP in the market today which we know from the PESTLE analysis.
4. **Provide digital QR code labels** like that of Climate Partners which can lead the customers to the projects that are being offset by Cumbrian businesses and the internal changes brought to reduce carbon emission and footprint. This is because in the SWOT analysis we found that Consumers have a huge bargaining power, who need to know the steps taken by company to tackle the issue.

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8. Appendix

PESTLE Analysis (Appendix 1)

Political

- The industry is highly regulated with rules and regulation
- Government has standards and frameworks.
- There are bodies to monitor the standards and quality of the industry and licensing body for approvals.
- Brexit and war increasing the value of F&B goods

Economics

- Growing economy is increasing the revenue of the industry.
- Increase in disposable income

Social

- People are more conscious of what they eat.
- Dietary requirements
- Supporting local businesses
- Consumers are aware of what they consume

Technology

- Technology has improved the industry the most
- Automation in fast food industry
- Online applications for food ordering
- Becoming mobile friendly, online payments, contactless

Legal

- Laws that support consumers
- Industry has regular checks and quality maintenance

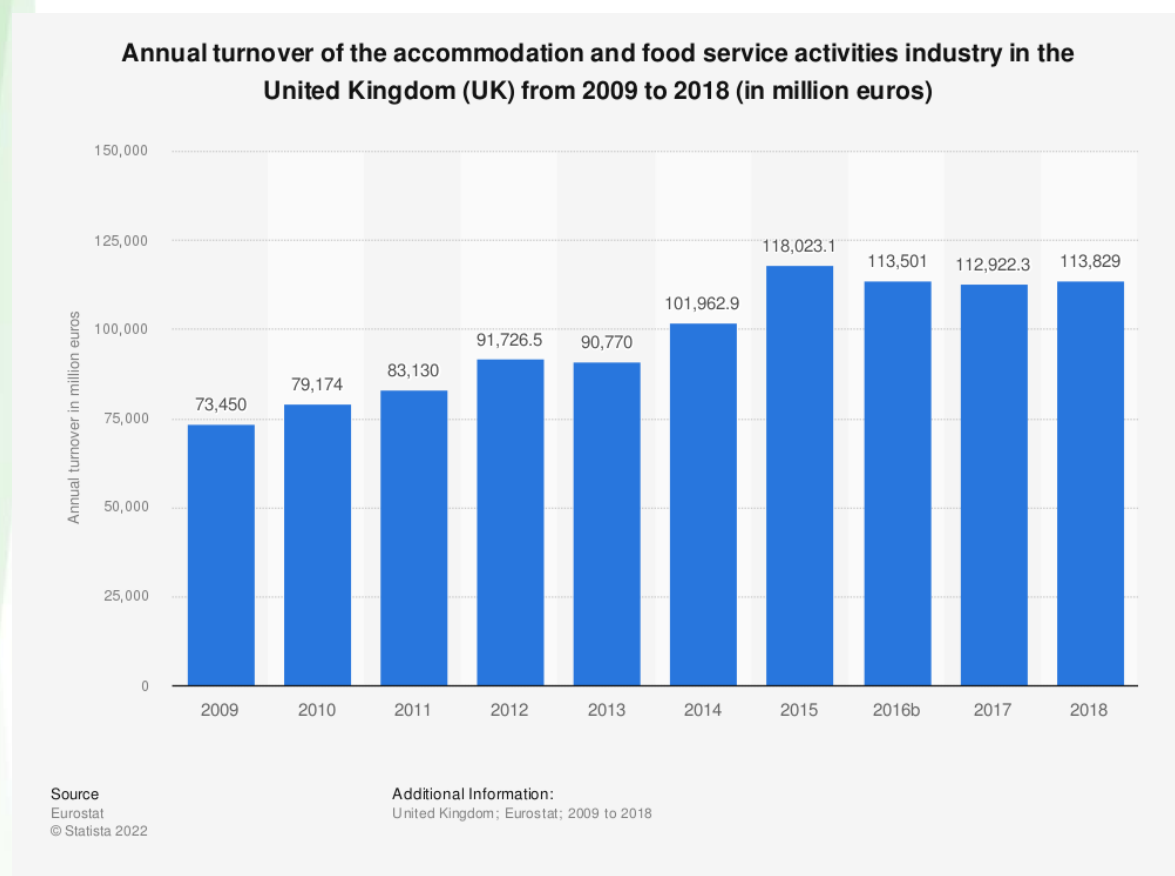
- Safety is given more priority

Environment

- Sustainable food and low carbon food are becoming popular
- People are aware of their carbon emission through food
- Vegan diets are becoming popular

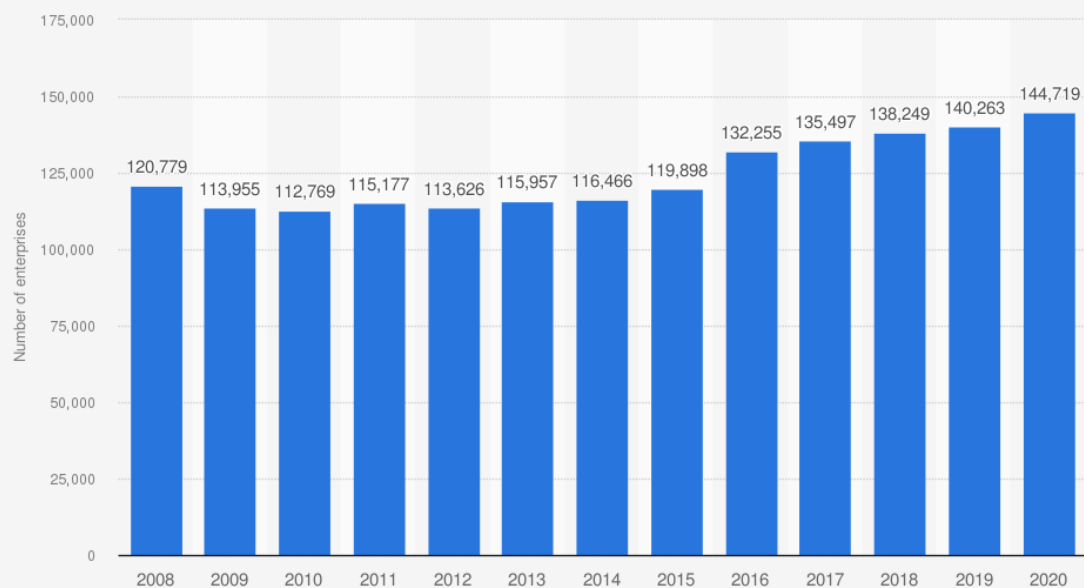
Statistics

(Appendix 2)



(Appendix 3)

Number of enterprises in the food and beverage serving industry in the United Kingdom (UK) from 2008 to 2020



Source

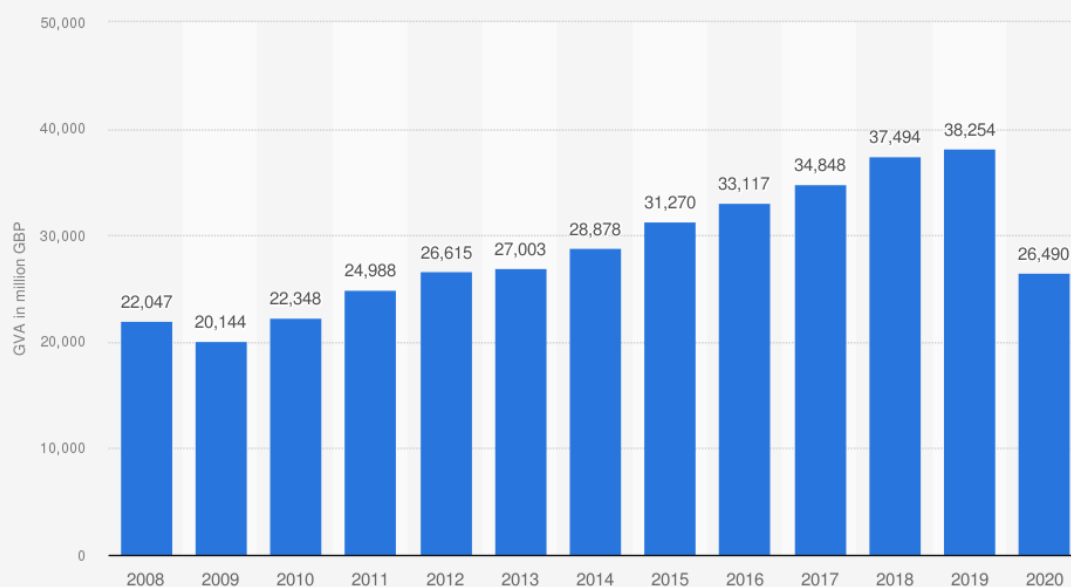
Office for National Statistics (UK)
© Statista 2022

Additional Information:

United Kingdom; Office for National Statistics (UK); 2008 to 2020

(Appendix 4)

Gross value added (GVA) of food and beverage services in the United Kingdom (UK) from 2008 to 2020 (in million GBP)



Source

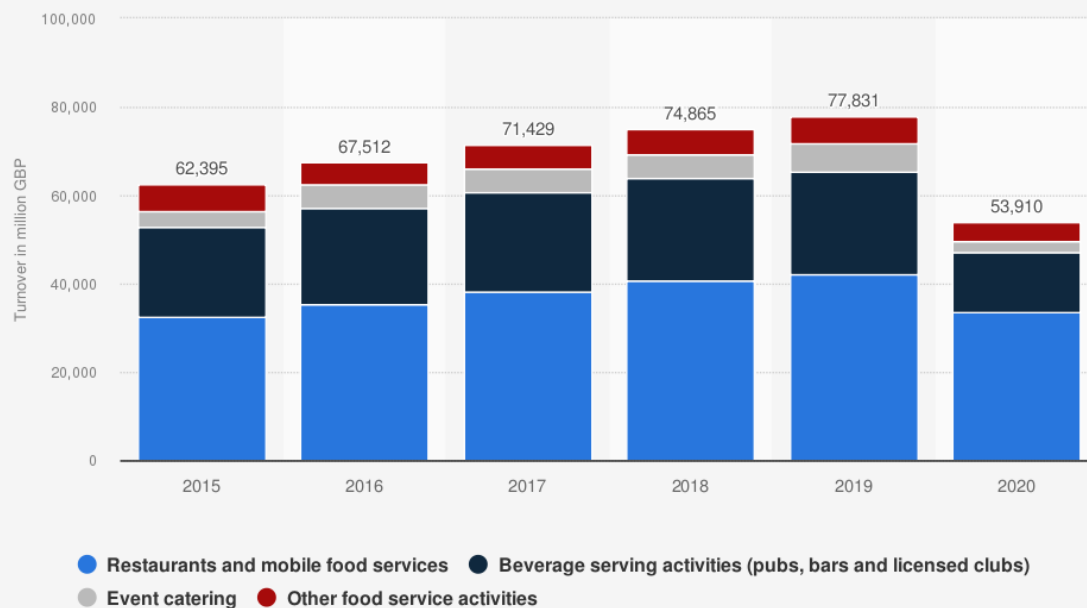
Office for National Statistics (UK)
© Statista 2022

Additional Information:

United Kingdom; Office for National Statistics (UK); 2008 to 2020

(Appendix 5)

Turnover of enterprises in the food and beverage serving industry in the United Kingdom (UK) from 2015 to 2020, by sector (in million GBP)



Source
Office for National Statistics (UK)
© Statista 2022

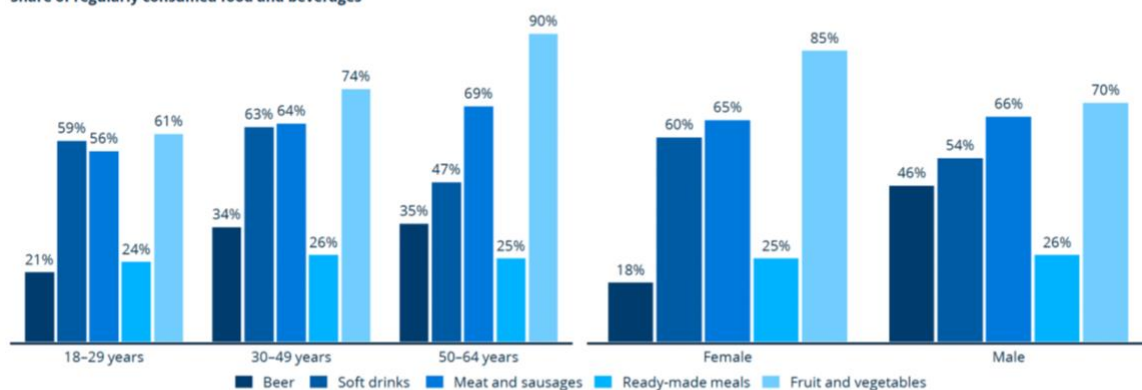
Additional Information:
United Kingdom; Office for National Statistics (UK); 2015 to 2020

(Appendix 6)

Fruits and vegetables are the most consumed foods in the UK

Introduction: Consumer Behavior

Share of regularly consumed food and beverages



Notes: "Which of these groceries and beverage products do you consume regularly?"; multi-pick; Base: n=15,296 all respondents; selected items
Sources: Statista Global Consumer Survey, as of March 2022

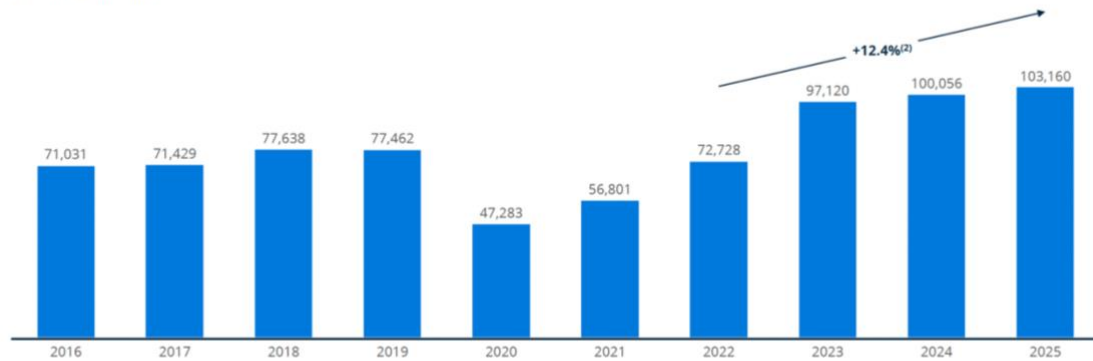
statista

(Appendix 7)

The revenue of the "Food & Beverages Retail" industry is expected to increase by 12.4% p.a. from 2022 to 2025

Industry Revenue

Revenue⁽¹⁾ in million £

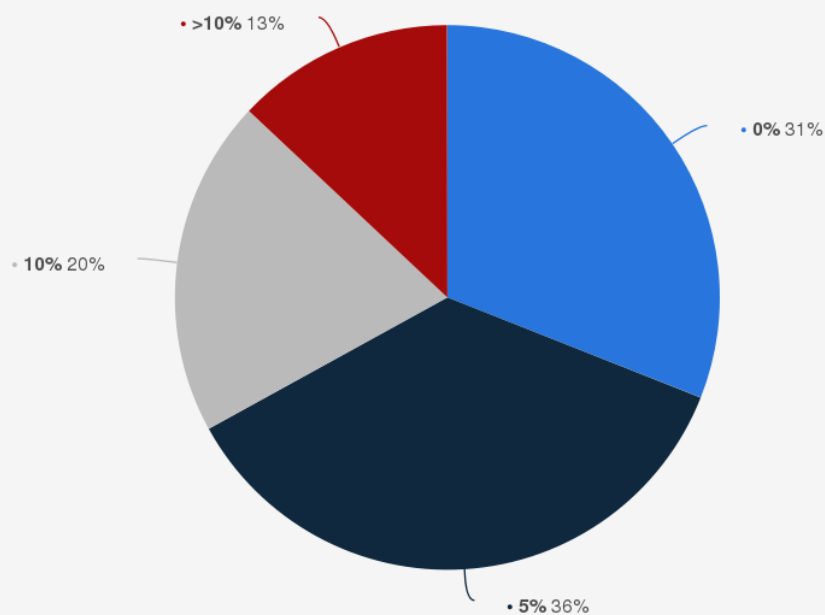


12 Notes: (1) Food & Beverage Service Activities revenue (2) CAGR: Compound Annual Growth rate / average growth rate per year; 2019-2025 is based on Statista estimate
Sources: Statista Industry Outlook 2022; OECD 2022; Statistical Office of the European Union (Eurostat) 2022

statista

(Appendix 8)

How much more shoppers would pay for sustainably sourced food in the United Kingdom (UK) as of August 2021

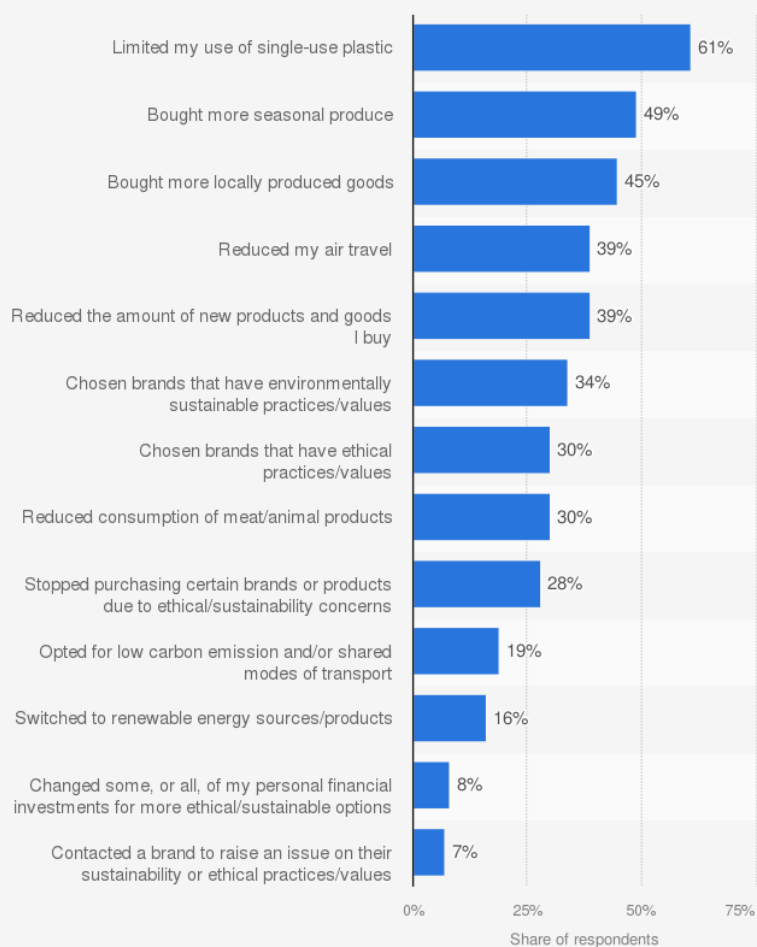


Source
Deloitte
© Statista 2022

Additional Information:
United Kingdom; August 2021; 1,022 respondents; 18 years and older; Respondents were either responsible for or influence grocery purchases; Online survey

(Appendix 9)

Share of sustainable shopping behaviors among UK shoppers in 2021



Sources

YouGov; Deloitte
© Statista 2022

Additional Information:

United Kingdom; YouGov; March 5 to 8, 2021; 2,000 respondents; 18 years and older